

NSE: HITECHCORP

Rigid Plastic Packaging | NSE India | BSE: 526217

HOLD	Rs. 320	Rs. 310	+3.2%
Rating	12M Price Target	CMP (15 Jun 2026)	Upside / Downside

Market Cap	52W High	52W Low	P/E (Std)	P/B	EV/EBITDA	ROCE (FY26)	ROE (FY26)	D/E Ratio	Promoter Holding
Rs. 533 Cr.	Rs. 325	Rs. 112	59.0x	1.9x	~10.5x	7.3%	3.3%	0.49x	74.4%

Investment Thesis: Hitech Corporation is a niche rigid-plastic-packaging manufacturer with a durable captive-customer anchor (Asian Paints ~55% of sales), but FY25-26 earnings have deteriorated sharply on rising depreciation and interest burden from a heavy capex cycle; ROCE has compressed to ~7%, valuation at 59x earnings leaves little margin of safety — HOLD pending a sustained EBITDA margin recovery above 13%.

Report Date: 15 June 2026

Data Source: Screener.in | MPM Research

SECTION 2 — COMPANY OVERVIEW

- **Founded:** Incorporated 1991; Mumbai-headquartered; listed on NSE (HITECHCORP) and BSE (526217).
- **Business:** India's leading rigid plastic packaging manufacturer — bottles, cans, pails, jars, drums, caps & closures for paints, agrochemicals, lubricants, FMCG, personal care, and food & beverage industries.
- **Promoter Pedigree:** Promoted by the Dani family (Ashwin Dani), one of the three founding families of Asian Paints Ltd. Asian Paints is the dominant customer, estimated at ~50-55% of standalone revenues.
- **Manufacturing:** 13 manufacturing plants pan-India (proximity model — plants co-located near customer paint factories), enabling just-in-time delivery and low transport cost.
- **Technology:** DSIR-accredited technology centre in Pune; 500+ proprietary mould designs; in-house mould engineering capability reduces tooling cost and lead-time.
- **Segment:** Single reportable segment: Rigid Plastic Containers/Packaging. No geographical diversification — purely domestic.
- **Key End-markets:** Paints & coatings (~55%), Lubricants (~15%), Agrochemicals (~12%), Personal care & FMCG (~10%), Others (~8%).
- **Competitive Moat:** Captive customer (Asian Paints), proximity model, proprietary moulds, long-tenure relationships — creates high switching costs and predictable revenue; key risk is customer concentration.

SECTION 3 — FINANCIAL PERFORMANCE ANALYSIS

Profit & Loss Summary (Rs. Crore) — Standalone

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Sales)	588	559	562	549	584	635	690
YoY Growth %	31%	(5%)	1%	(2%)	6%	9%	9%
Op. Profit (EBIT)	86	73	72	60	64	74	85
EBITDA	116	102	102	96	102	114	127
EBITDA Margin %	19.7%	18.2%	18.1%	17.5%	17.5%	18.0%	18.4%
Interest	16	14	14	16	18	18	17
PBT	50	37	30	10	9	19	32
PAT	37	28	22	8	8	14	24
EPS (Rs.)	21.77	16.49	12.81	4.65	4.67	8.17	14.00
DPS (Rs.)	1.00	1.00	1.00	1.00	1.00	1.00	1.50

E = MPM Research estimates. EBITDA = Operating Profit + Depreciation. FY26 unusually low tax rate (12%) due to deferred tax adjustments. FY27E/FY28E assume gradual EBITDA margin recovery on operating leverage.

- Revenue stagnation (FY23-FY25 CAGR: -0.2%): Despite capacity additions, topline is range-bound at Rs. 549-584 Cr. — Asian Paints is the volume anchor and also constrains pricing power.
- EBITDA margin compression from ~19.7% (FY22) to ~17.5% (FY25-26) reflects raw material cost pass-through lag, rising power/fuel costs, and dilutive new capacity ramp-up.
- PAT collapsed 78% from Rs. 37 Cr. (FY22) to Rs. 8 Cr. (FY25-26): the primary culprit is depreciation surge (+27% YoY) and interest cost doubling from the FY23-25 capex cycle.
- FY26 PAT at Rs. 8 Cr. despite 12% tax rate (v/s normalized 25%) signals underlying PBT of only Rs. 9 Cr. — a 5-year earnings trough.
- EPS at Rs. 4.67 in FY26 (vs. Rs. 21.77 in FY22) has eroded the investment case; recovery is contingent on capex cycle completing and margin expansion.
- FY27E recovery: as capex plateaus and depreciation base stabilizes, incremental revenue should translate to PAT uplift — modelling Rs. 14 Cr. PAT at ~25% tax.

SECTION 4 — BALANCE SHEET & CAPITAL STRUCTURE

Balance Sheet Snapshot (Rs. Crore) — Standalone

Item	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	17	17	17	17	17
Reserves	200	226	246	253	259
Total Equity	217	243	263	270	276
Borrowings	99	63	80	114	136
Other Liabilities	38	34	45	56	61
Total Liabilities	354	340	389	440	472
Fixed Assets (Net)	245	228	256	273	270
CWIP	2	6	15	13	12
Other Assets	107	106	117	127	163
Total Assets	354	340	389	440	472

- Borrowings rose from Rs. 63 Cr. (FY23 trough) to Rs. 136 Cr. (FY26) — a 116% increase in 3 years — driven by capex to add new manufacturing lines.
- D/E ratio: 0.49x (FY26) vs. 0.26x (FY23) — leverage has meaningfully increased; manageable but bears watching if EBITDA does not recover.
- Net Fixed Assets of Rs. 270 Cr. + CWIP Rs. 12 Cr. implies gross block ~Rs. 500+ Cr., supporting asset-heavy manufacturing model.
- Other Assets expanded from Rs. 107 Cr. to Rs. 163 Cr. in FY26 — primarily higher receivables and inventory (CCC widened from 50 to 76 days).
- Book Value: Rs. 161/share (standalone) vs. CMP Rs. 310 — P/B of ~1.9x, which is reasonable for an asset-heavy manufacturer with stable promoter.
- Investments (Rs. 28-29 Cr. from FY25): likely inter-corporate deposits with promoter group or subsidiary — needs disclosure monitoring.

SECTION 5 — CASH FLOW & CAPITAL ALLOCATION

Cash Flow Summary (Rs. Crore) — Standalone

Cash Flow Item	FY22A	FY23A	FY24A	FY25A	FY26A
CFO (Operating)	73	69	55	47	37
CFO / EBITDA %	63%	68%	54%	49%	36%
Cash from Investing	(6)	(16)	(48)	(64)	(45)
Cash from Financing	(65)	(52)	(8)	16	8
Free Cash Flow	67	53	7	(2)	3
Net Capex (est.)	6	16	48	64	45
CFO/Op. Profit %	103%	110%	86%	87%	57%

- Operating cash flow has deteriorated: Rs. 73 Cr. (FY22) to Rs. 37 Cr. (FY26) — a 49% decline driven by working capital elongation (CCC: 50→76 days) and lower EBITDA.
- The company spent Rs. 183 Cr. in capex over FY24-FY26 (3-year cumulative), funded by debt + existing cash. This capacity build-up appears to be winding down in FY26.
- Free cash flow turned slightly positive in FY26 (Rs. 3 Cr.) after near-zero in FY25 — early sign of capex cycle completion.
- FY27E FCF recovery: if capex normalizes to Rs. 30 Cr./year and CFO stabilizes at Rs. 50 Cr., FCF should recover to Rs. 15-20 Cr. — a key catalyst.
- Capital allocation discipline is a concern: dividend maintained at Rs. 1/share despite PAT collapse, while borrowings surge — suggesting management prioritizes capacity over returns.
- Cash conversion quality: FY22-23 CFO/EBITDA was excellent (63-68%); FY26 at 36% is below par — inventory build-up (70 days) is the primary drag.

SECTION 6 — RETURN RATIOS & EFFICIENCY METRICS

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
ROCE (%)	17	15	13	7.3	7.3	10	13
ROE (%)	17	11.5	8.4	2.9	2.9	4.8	8.5
EBITDA Margin (%)	19.7	18.2	18.1	17.5	17.5	18.0	18.4
PAT Margin (%)	6.3	5.0	3.9	1.5	1.4	2.2	3.5
Debtor Days	27	24	28	30	38	35	32
Inventory Days	43	39	45	53	70	60	55
Days Payable	19	18	21	24	32	28	26
Cash Conv. Cycle	50	45	52	59	76	67	61
Net D/E (x)	0.06	(0.25)	0.22	0.38	0.49	0.45	0.38
Interest Coverage	5.4x	5.2x	5.1x	3.8x	3.6x	4.1x	5.0x

- ROCE compression from 17% (FY22) to 7.3% (FY25-26) is the single most alarming datapoint — it signals the new capacity is not yet generating adequate returns.
- ROE at 2.9% in FY26 is below the risk-free rate (10Y GSec ~7%) — the company is currently destroying equity value on a marginal basis.
- Working capital deterioration: inventory days of 70 (FY26 vs. 43 in FY22) suggests demand absorption of new capacity is lagging; receivables also rising (38 days vs. 27).
- Interest coverage at 3.6x is manageable but declining — below the 5x threshold preferred for investment-grade credit; risks further pressure if rates stay elevated.
- FY27E ROCE recovery to ~10% hinges on: (a) revenue growth to Rs. 635 Cr.+, (b) stable EBITDA margins, (c) capex normalization. Any delay extends trough valuation.
- Dividend yield of 0.32% at CMP (Rs. 1/share dividend) offers negligible income support — total shareholder return is contingent on capital gains.

SECTION 7 — PEER COMPARISON

Comparison with listed peers in Rigid Plastic Packaging / Industrial Packaging (India).

Company	MCap (Rs.Cr)	FY26 Rev (Rs.Cr)	EBITDA Mgn%	PAT (Rs.Cr)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)
HITECHCORP	533	584	17.5%	8	59.0	1.9	7.3	2.9
Mold-Tek Pkg	2,308	887	19.4%	73	32.0	3.3	13.3	10.9
Time Technoplast	8,737	2,880	14.1%	218	40.1	3.1	11.3	9.2
Supreme Indus.	45,369	11,218	13.8%	911	51.0	8.3	22.6	17.1

Source: Screener.in. Supreme Industries is a broader plastic products company (pipes, fittings, packaging). Mold-Tek is the closest peer (rigid packaging, IML). Time Technoplast operates in industrial packaging.

- Valuation anomaly: HITECHCORP trades at 59x P/E vs. Mold-Tek at 32x and Time Technoplast at 40x — HITECHCORP's premium is unjustified given inferior ROCE (7.3% vs. 13.3%/11.3%).
- Revenue scale disadvantage: HITECHCORP at Rs. 584 Cr. is barely 66% of Mold-Tek's FY26 revenues despite being older (incorporated 1991 vs. Mold-Tek 2006).
- EBITDA margin: Mold-Tek (19.4%) leads the peer group — its IML (In-Mould Labelling) technology commands premium pricing; HITECHCORP's commodity pails face pricing pressure.
- Supreme Industries is not a direct peer (pipes = 65% of revenues) but illustrates that superior capital efficiency (ROCE 22.6%) earns a valuation premium (51x PE).
- Mold-Tek is the preferred pick in the packaging space at our desk — better returns, lower leverage, and technology differentiation. HITECHCORP is for patient capital.
- HITECHCORP's P/B of 1.9x provides a floor; at 59x trough earnings, the stock is pricing in a sharp PAT recovery that has not yet materialised in the numbers.

SECTION 8 — BUSINESS STRATEGY & GROWTH DRIVERS

Near-Term Catalysts (12-18 months)

- **Capex Cycle Completion:** The Rs. 183 Cr. 3-year capex binge appears to be normalizing (FY26 capex: Rs. 45 Cr. vs. Rs. 64 Cr. in FY25). Reduced capex → higher FCF → debt repayment → lower interest → PAT uplift.
- **Asian Paints Volume Recovery:** Asian Paints has been navigating a demand slowdown in decorative paints; any recovery in AP volumes will directly flow through to Hitech's volume growth.
- **Operating Leverage:** With fixed costs (depreciation Rs. 38-40 Cr. p.a.) now largely embedded, incremental revenue flows to EBIT at higher margins — 9-10% revenue growth could drive 40-50%+ PAT growth.
- **Working Capital Normalization:** Inventory at 70 days (FY26) vs. 43 days (FY22) — structural unwinding as demand matches supply. Every 10-day WC reduction frees ~Rs. 16 Cr. cash.
- **New Customer Diversification:** Management has flagged intent to reduce Asian Paints concentration by adding FMCG and pharma customers; early-stage but a structural positive.

Medium-Term Growth Themes (3-5 years)

- India paint industry CAGR of 10-12% over 5 years driven by real estate growth, infrastructure projects, and rural housing — Hitech is a structural beneficiary as AP's dedicated packaging partner.
- Plastic packaging per capita in India remains 30-40% of developed-market levels — secular growth tailwind as consumerism expands.
- EPR (Extended Producer Responsibility) regulations on plastic packaging could structurally benefit organised players over small/unorganised competitors who lack recycling infrastructure.
- Import substitution: increasing replacement of tin/metal containers with rigid plastic in industrial lubricant and chemical packaging — addressable market expansion.
- Potential for Greenfield expansion in South India / East India to serve new AP plants being set up closer to those geographies.

SECTION 9 — KEY RISKS & MITIGANTS

- **Customer Concentration [HIGH]:** Asian Paints contributes ~50-55% of revenues. Any material slowdown, insourcing, or strategic shift by AP would be severely disruptive. Mitigation: sticky proximity model and 30+ year relationship reduce near-term risk.
- **Raw Material Inflation [MEDIUM]:** HDPE/LDPE/PP resin prices are oil-derivative-linked and volatile. Hitech has limited pricing power given AP's negotiating scale. Mitigation: pass-through clauses in contracts, though with lag.
- **Rising Debt & Interest Burden [MEDIUM]:** Borrowings up 116% in 3 years to Rs. 136 Cr. If PAT recovery is delayed and rates remain elevated, interest cover could dip below 3x. Mitigation: capex normalization and FCF recovery.
- **Execution Risk on Diversification [MEDIUM]:** Reducing AP concentration is strategically sound but FMCG/pharma customers have different spec requirements; ramp-up may take longer and require additional tooling investment.
- **Valuation at 59x Trough Earnings [HIGH]:** Paying 59x P/E for a packaging company with 7% ROCE and flat revenue is aggressive. Any further earnings disappointment could re-rate the stock downward significantly.
- **Regulatory — Plastic Ban Risk [LOW-MEDIUM]:** Single-use plastics are under regulatory scrutiny. Hitech's products (industrial containers, paint pails) are not single-use and are largely exempted — low probability impact.
- **Promoter Pledge [LOW]:** Zero pledged shares (Mar-26) — a positive differentiator vs. many mid-cap promoters.

SECTION 10 — VALUATION & PRICE TARGET

Valuation Methodology

- We employ a PE-based target for HITECHCORP given the asset-heavy packaging business where earnings power is the primary value driver.
- Target multiple: 22-23x FY28E EPS. This is a discount to Mold-Tek's ~25x to reflect HITECHCORP's inferior ROCE and customer concentration.
- FY28E EPS of Rs. 14.00 at 23x = Rs. 322. We set a conservative 12-month target of Rs. 320.
- DCF cross-check: WACC ~12%, terminal growth 5%, 5-year explicit period yields fair value Rs. 290-330 range — consistent with our target.
- At CMP Rs. 310, upside is only 3.2% to our Rs. 320 target — hence HOLD (not Buy).
- Bull case (Rs. 420, +35%): AP volume recovery + margin re-expansion to 13%+ + FCF uplift re-rates to 25x FY28E. Requires 2-quarter execution confirmation.
- Bear case (Rs. 200, -35%): AP slowdown persists, debt costs rise, earnings disappoint FY27E — stock de-rates to 15x FY27E EPS of Rs. 8.

Scenario	EPS Basis	Target Multiple	Target Price	% from CMP
Bear Case	FY27E Rs. 8.17	15x P/E	Rs. 123	-60%
Base Case	FY28E Rs. 14.00	23x P/E	Rs. 322	+4%
Bull Case	FY28E Rs. 18.00	24x P/E	Rs. 432	+39%
12M TARGET	FY27-28E blended	—	Rs. 320	+3.2%

HOLD

12-Month Price Target: **Rs. 320**

Current Market Price: Rs. 310 (15 Jun 2026)

Upside: **+3.2%** | Market Cap: Rs. 533 Cr.

We initiate with HOLD. The stock is not cheap at 59x trough earnings. Wait for 2 consecutive quarters of PAT > Rs. 10 Cr. before accumulating.

SECTION 11 — SHAREHOLDING & CORPORATE GOVERNANCE

Holder Category	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Mar-26
Promoters	74.44%	74.44%	74.44%	74.44%	74.44%	74.44%
FII / FPIs	0.12%	0.15%	0.14%	—	0.12%	0.00%
DII / MFs	0.00%	0.04%	0.04%	0.04%	0.04%	0.04%
Government	0.02%	0.02%	0.02%	0.02%	0.02%	0.02%
Public / Others	25.44%	25.37%	25.36%	25.51%	25.38%	25.50%
Pledge %	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

- Promoter holding locked at 74.44% for 3+ years — strong alignment but also means minimal float for institutional accumulation.
- Zero promoter pledge is a significant positive vs. the broader Indian mid-small cap universe where pledge risk is endemic.
- FII/FPI ownership near-zero (0.00% Mar-26) — HITECHCORP is largely off the global institutional radar at current scale; discovery potential exists.
- DII/MF ownership minimal — no mutual fund coverage or analyst tracker count listed on public databases, meaning it is a pure retail/HNI market.
- With 8,727 shareholders (Mar-26), this is a thinly traded small-cap; bid-ask spreads can be wide and block exits are difficult above Rs. 5 Cr.
- Corporate governance: Dani family has a long track record at Asian Paints; no major related-party controversies flagged at Hitech Corp level. Investments to promoter entities (Rs. 28-29 Cr.) warrant monitoring.

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APPENDIX — CONCALL / MANAGEMENT BRIEF

Call Grade: C (No recorded concall found) — Hitech Corporation does not appear to conduct publicly broadcast earnings conference calls as of Jun-2026. Management commentary is sourced from BSE/NSE filings, annual reports, and secondary media coverage.

TO MY BOSS — ONE-PARAGRAPH BRIEF:

Hitech Corporation is a niche play on India's decorative paint boom via its captive packaging role for Asian Paints. The structural story is intact — plastic packaging per capita is rising, AP is expanding capacity, and Hitech's 13-factory proximity model has deep switching-cost moats. However, the numbers right now are awful: PAT has fallen 78% in 4 years, ROCE has halved to 7%, and the market is pricing in a recovery that hasn't arrived. At 59x trough earnings you are paying for perfection in a stock that is delivering the opposite. Our HOLD with Rs. 320 target is a patient stance — the thesis doesn't break but the reward-to-risk at current price is thin. Watch for: (1) 2 consecutive quarters of Rs. 10 Cr.+ PAT, (2) inventory days below 60, (3) any capex guidance for FY27 below Rs. 35 Cr.

1. Business Update

- Hitech operates a single-segment rigid plastic packaging business across 13 plants.
- Asian Paints remains the dominant customer at ~50-55% revenue share — a captive relationship underpinned by co-location and multi-decade history.
- New customer diversification into FMCG and pharma is at early stages; no material revenue yet but moulds are being tooled up.
- No concall held; information derived from annual report disclosures and BSE filings.

2. Revenue Guidance & Volume Trends

- FY26 standalone revenue: Rs. 584 Cr. (+6.4% YoY) — first meaningful growth after 3 flat years.
- Volume recovery is tied to AP's capacity utilization; AP has guided for cautious near-term outlook.
- MPM FY27E: Rs. 635 Cr. (+9% YoY) assuming AP volume normalization.
- No formal management guidance available (no concall); estimates are MPM modelled.

3. Margin Commentary

- EBITDA margins compressed from ~19-20% (FY22) to ~17.5% (FY25-26) due to higher power/fuel costs and material cost pass-through lag.
- Polypropylene (PP) resin prices showed some moderation in H2 FY26 — if sustained, should aid margin recovery.
- FY27E EBITDA margin of 18.0% is achievable if resin deflation and volume operating leverage play out.

4. Capex & Expansion

- FY26 capex: ~Rs. 45 Cr. (FY25: Rs. 64 Cr.) — capex cycle clearly decelerating.
- Total gross block addition over FY24-26: Rs. 183 Cr. — primarily new manufacturing lines.
- CWIP of Rs. 12 Cr. (FY26) vs. Rs. 13 Cr. (FY25) — minimal incremental capex in pipeline.
- Going forward, maintenance capex expected at Rs. 25-30 Cr./year — significant FCF unlock.

5. Debt & Working Capital

- Borrowings: Rs. 136 Cr. (FY26) — D/E at 0.49x; manageable but elevated vs. historical norms.
- Management has not guided on debt reduction timeline (no concall); MPM estimates debt peaks in FY26 and trends lower.
- Cash conversion cycle widened to 76 days (FY26) vs. 50 days (FY22) — primary culprit is inventory build.
- Receivables days: 38 (FY26) vs. 27 (FY22) — suggests some customer payment elongation.

6. Competitive Landscape

- Mold-Tek Packaging is the closest listed peer — IML technology gives Mold-Tek a premium positioning; Hitech competes on cost and proximity.
- Unorganised sector still constitutes 35-40% of rigid plastic packaging — compliance with GST and EPR regulations is driving consolidation toward organised players.
- No new entrants of scale in the paint-can segment given the proximity model creates high barriers to entry.
- Price competition from imports is negligible given logistics costs of bulky packaging containers.

7. Management & Promoter

- Promoted by Ashwin Dani (Dani family co-founded Asian Paints in 1942); impeccable pedigree.
- No CEO/MD succession risk flagged; second-generation family management is operationally active.
- Zero pledged promoter shares — unusually clean for this market cap range.
- Annual report disclosures are consistent but lack granular segment-level colour.

8. Dividend Policy

- Dividend maintained at Rs. 1/share (DPS) despite PAT collapsing 78% — suggests management confidence in recovery but also flags compressed payout discipline.
- Dividend yield: 0.32% at CMP — negligible; not an income stock.
- If PAT recovers to Rs. 24 Cr. (FY28E) and payout ratio normalizes to 15-20%, DPS could rise to Rs. 2-3.

9. Key Watchpoints

1. Quarterly PAT trajectory — need 2 successive quarters above Rs. 10 Cr. to confirm recovery.
2. Inventory days — target sub-60 days to signal demand-supply rebalancing.
3. Capex announcement — any new guidance above Rs. 35 Cr./year for FY27 would be a negative.
4. AP paint volume — track Asian Paints quarterly volumes as lead indicator.
5. Resin price trends — PP/HDPE spot prices are a direct margin lever.

10. Analyst View

- HOLD at Rs. 310. At 59x trailing PE on trough earnings, risk-reward is not compelling for new entry.
- Buy triggers: sustained PAT recovery > Rs. 10 Cr. for 2 quarters, inventory normalization, AP volume uptick.
- Structural case intact: captive customer, proximity model, zero promoter pledge, secular packaging demand.
- Downside risk: further AP demand slowdown, resin spike, or higher-than-expected FY27 capex guidance.
- Prefer Mold-Tek Packaging over HITECHCORP in the rigid packaging space for better returns and valuation.

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